



I. Executive Summary

Wellness becomes a defining cultural theme; the intersection of food, beverage, and fitness presents a powerful new opportunity.

Blue Tokai and Suchali's Artisan Bakehouse are aspirational lifestyle brands, together representing the modern craft-led F&B movement rooted in authenticity and quality. They are now exploring the intersection of food and wellness. The challenge is to build authentic relevance within the fitness ecosystem (across muscle gain, gut health, recovery, and skincare) without compromising their core artisanal, craft-led identity.

Secondary Data and Desk research facilitated setting up the stage: Market analysis confirms that Blue Tokai operates within a robust, growing market segment—the Urban Affluent, Health-Conscious weekly café-goer, estimated at ~9.3M people. While the overall market (TAM) is healthy, the data revealed a significant internal opportunity: Blue Tokai's current Serviceable Obtainable Market (SOM) share is modest (3.0–4.6% of speciality café customers). The problem is not market contraction, but an internal imperative to convert the existing customer base from purely beverage-driven (Functional Coffee) to a more integrated, high-value routine (Functional Food). The existing Triad of Craft × Culture × Consciousness in partnerships provides a strong baseline for the wellness pivot.

Quantitative Data (Scale of the Problem/Opportunity): Blue Tokai faces a significant category disconnect, with 66.2% of core customers currently disengaged from the existing food menu. However, a clear bridge exists: 46.5% of users already view coffee as a "functional" product, identifying a high-potential, receptive audience that is primed for a pivot toward performance-based nutrition as shown in exhibit 5.

Qualitative Insights - The Pulse Behind the Metrics: Interview findings explain the reason behind the quantitative gap: The physical store "Vibe" and the perception of the brand as "Just Coffee" (a 4.23% barrier) are the primary emotional blockers. The high preference for Word of Mouth and In-Store (88.46%) consumption indicates that the new wellness line will be judged on the physical experience—the staff interaction, the visual merchandising, and the perceived authenticity of the "Health" signal in the café, rather than on digital advertising alone.

Brand Evaluation Framework & Strategic Levers for Partnership Discovery: To guide Blue Tokai's wellness expansion, a weighted Brand Scoring Framework was developed to prioritize potential partners. This framework scores partners based on three key dimensions: Strategic Alignment (49%), Execution Risk, and Business Potential. The resulting scores inform three strategic levers for collaboration: Aspirational alliances, focused on long-term brand equity and premium positioning; Optimal co-branding opportunities, designed to borrow functional credibility and expertise; and Low-Hanging operational wins, aimed at immediate revenue generation through in-store implementation.

II. Problem Statement & Objectives

Blue Tokai (BT) and Suchali's Artisan Bakehouse (SAB) are established leaders in the **aspirational, craft-led F&B sector**, valued for their authenticity and premium quality.

Both brands are now entering the **fitness and wellness ecosystem**, targeting specific functional needs including muscle gain, gut health, recovery, and skincare.

The primary hurdle is **brand elasticity**: How to establish credibility in the high-performance fitness market (functional outcomes) without diluting their core identity as artisanal, pleasure-driven lifestyle brands. They must prove that "craft" and "functional efficacy" can coexist.

Hypotheses:

- Collaborations rooted in shared values of **craft, quality, and natural functionality** will elevate long-term brand equity over short-term revenue spikes.
- The core direction is **Habit Integration** to position Blue Tokai and Suchali's Bakehouse as essential parts of the daily wellness routine.

III. Data Source Overview:

- **Secondary Data:** Tracxn, Company website: Blue Tokai, Suchali's Bakehouse, Desk Research.
- **Primary Qualitative:** 68 in-depth interviews conducted. Role/Demographic of interviewees: Blue Tokai customers, competitors' customers, fitness experts, fitness enthusiasts, and staff.
- **Primary Quantitative:** 12 Surveys completed via Google Forms, Target audience: Blue Tokai customers

IV. Secondary Data Analysis: Market Analysis and Desk Research

1. Market Sizing (Data collected from Blue Tokai and Suchali's website)

Metric	Estimate
Urban Population	515M
Income-qualified (middle + upper)	206M
Café-likely age groups	91M
Weekly café-goers	~20M

Exhibit 1: People in Urban India who visit cafés at least 1+ times per week (2025)

Layer	Metric	Updated 2025 Estimate
TAM	Weekly café-goers	20M people
SAM (People)	Specialty café-goers	4.4M – 6.4M (mid 5.4M)
SAM (Revenue)	Annual spend potential	₹6,800–10,000 Cr
SOM (Customer share)	BT weekly reach	162K – 248K weekly customers
SOM (Revenue share)	BT revenue vs SAM	₹150–320 Cr
Blue Tokai Cafes	Website Listing Count	183 cafes
Suchali's Bakehouse integrated Blue Tokai Cafes	Website Listing Count	124 cafes

Exhibit 2: Café TAM/SAM/SOM for Blue Tokai

Layer	Population
Urban India	515M
Affluent (18%)	93M
Health-conscious (40%)	37M
Weekly café-goers (25%)	~9.3M

Exhibit 3: Urban + Affluent + Health-Conscious people in India who go to cafés ($\approx 1 \times / \text{week}$)

Market Analysis and Desk Research led to customer sampling of the segment: The market analysis reveals a Total Addressable Market (TAM) of 20M weekly café-goers in Urban India. The Serviceable Available Market (SAM) for specialty café-goers is 4.4M–6.4M people, with an annual revenue potential of ₹6,800–10,000 Cr. BT's current Serviceable Obtainable Market (SOM) is estimated at 3.0–4.6% of customers (162K–248K) and 2.2–3.2% of revenue (₹150–320 Cr), operating from 183 cafés and 124 integrated cafes with Suchali's Artisan Bakehouse. Our target customer profile is the urban affluent in Tier-1 cities, aged 18–45, capitalizing on rising disposable incomes and demand for premium experiences.

2. The Blue Tokai Collaboration Framework (Data collected from Blue Tokai and Suchali's website)

Dimension	Description	Example
Core Brand Value Alignment	Collaboration partners must share Blue Tokai's pillars: craft, authenticity, Indian origin, and conscious living.	The Whole Truth, Royal Enfield
Lifestyle Integration	The collaboration should integrate coffee into lifestyle or cultural rituals.	HarperCollins (Books), Pagal Haina (Music)
Experience Amplification	Create sensory or experiential extensions of the brand, both in-store and digital.	Play Bar Project, Farm Tours

Audience Overlap	Target urban, mindful consumers who value creativity, sustainability, and taste exploration.	Sula, MuscleBlaze
Innovation & Experimentation	Each collaboration should introduce a new flavor, form, or function of coffee.	Sula (barrel-aged), MuscleBlaze (protein coffee)
Sustainability & Responsibility	Preference for circular or eco-conscious brand alignments.	The Switch Fix
Storytelling Depth	Collaborations are used to tell richer brand stories rooted in Indian craftsmanship.	Royal Enfield, HarperCollins

Strategic Insights:

Past partnerships analysis shows a clear pattern of lifestyle integration by anchoring coffee into rituals (such as HarperCollins/Books, Pagal Haina/Music), functional expansion through testing new functional forms (such as MuscleBlaze for protein, The Whole Truth for clean indulgence), and shared values by aligning with eco-conscious or craft-driven brands (such as The Switch Fix, Royal Enfield). This creates a standard baseline to benchmark future collaborations.

In essence, their partnerships reflect a **triad of Craft × Culture × Consciousness**.

3. Channels Distribution: (Data collected from Blue Tokai's POC in clarifying discussion)

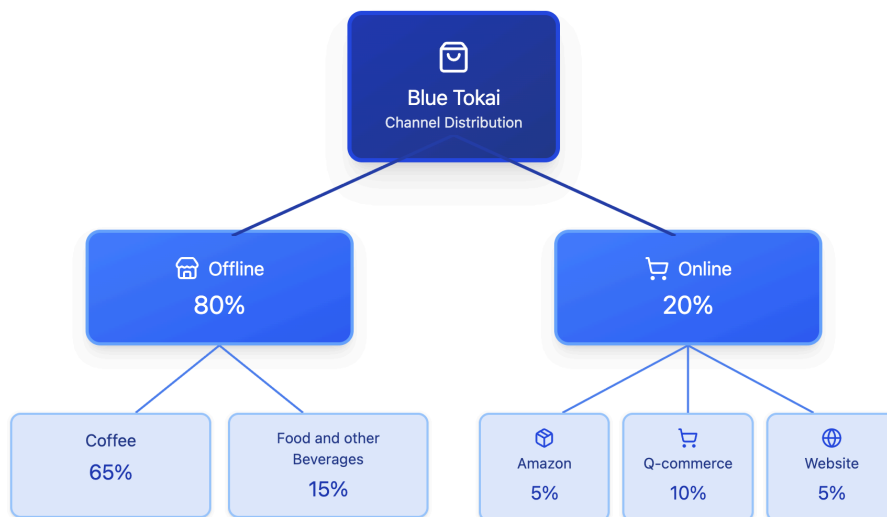


Exhibit 4: Channel Distribution Overview

Customer preference for Blue Tokai is overwhelmingly **Physical First** (88.46% prefer the in-store channel) with discovery driven by ambience and word of mouth.

Actionable: To maximize adoption and overcome the "Just Coffee" barrier, the co-branded partnership launch must be **Physical First** and focus on food as well as other beverage adoption, and staff training to convert customers at the point of sale.

4. Key Metrics of Blue Tokai Coffee Roaster: (Tracxn)

This table presents the key financial and operational metrics for Blue Tokai Coffee Roaster, detailing its total equity funding of ₹884.28 Crores, a post-money valuation of ₹1,410 Crores, and its March 2024 financial performance which showed an Annual Revenue of ₹221 Cr and a Net Loss of ₹-62.9 Cr.

Metric	Value
Total Equity Funding (USD)	₹884.28 Crores (across 12 rounds)
Latest Funding Round	₹215 Crores, Series D (Jun 26, 2025)
Post-Money Valuation	₹1,410 Crores as of Jun 26, 2025
Investors	Snow Leopard Ventures & 66 more
Annual Revenue	₹221 Cr (as of Mar 31, 2024)
Employee Count	2.59K (as of May 31, 2025)
Primary Competitors	Third Wave, Starbucks, Tim Hortons, etc.
Net Profit	₹-62.9 Cr (as of Mar 31, 2024)
Net Profit Margin	-28.45% (as of Mar 31, 2024)
Top Shareholder(s)	Verlinvest (13.3%) as of Sep 03, 2025

V. Primary Data Analysis: Survey & Interviews

1. Methodology & Participant Profile

To understand the core consumer motivations, barriers, and perceptions regarding Blue Tokai's entry into the wellness space, we conducted in-depth analysis of interview responses from a diverse cohort of consumers.

- **Data Source:**  WIP_BlueTokai_Survey & Interviews

1. Customer Demographics

Objective: To identify who constitutes the core Blue Tokai consumer base and where they are located.

Key Findings:

- **Key Locations:** Analysis is based on key responses from Urban Indian consumers (Delhi-NCR, Mumbai, Pune, Bangalore, Jaipur, Nagpur).
- **Youth Dominance:** The brand is overwhelmingly fueled by young consumers. **92.86%** of respondents are under the age of 35 (<25 age group: 51.43% | 25-35 age group: 41.43%).
- **Strategic Implication:** The target audience is young, urban, and likely heavily influenced by social trends and fitness culture. Any wellness intervention must speak the language of Gen Z/Millennials (such as "Protein/Macros" rather than "Diet/Low-Fat").

2. Food and Beverage Preferences

Objective: To understand the current consumption behavior and the specific role Blue Tokai plays in their routine.

Key Findings:

- **The Coffee First Mindset:** 86.57% of users prefer Coffee over other beverages.
- **The Functional Split:** Coffee preference is split almost evenly between **Indulgent (47.89%)** and **Functional (46.48%)**.
 - **Critical Insight:** Nearly half the customer base already views Blue Tokai as a productivity/functional tool, validating the potential for performance-based wellness products.
- **The Food Gap:** 66.20% of respondents have "Not Tried/Not Interested" in Blue Tokai food.
 - Driver: Current food choices are driven by **Indulgence (47.89%)** and **Taste (39.44%)**. "Healthy" is a distant third (28.17%).
- **Temperature:** Hot beverages (57.65%) are preferred over Cold (42.35%).

Strategic Implication: There is a massive disconnect between the beverage (Functional/Habitual) and the food (Indulgent/Occasional). The strategy must bridge this gap by introducing food that matches the "Functional" coffee drinker, items that are "Fuel" rather than just "Treats."

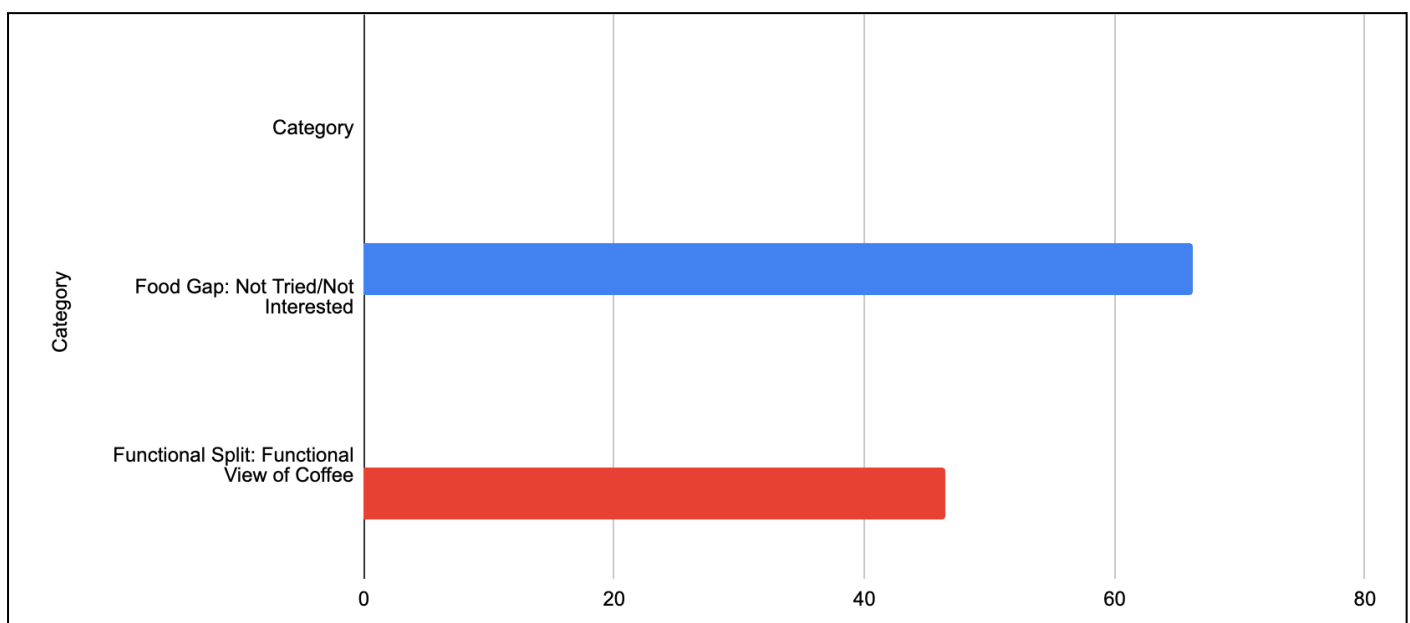


Exhibit 5: The functional Split and Food Gap

3. Discovery and Preferred Channel

Objective: To determine how to reach the audience with the new wellness proposition.

Key Findings:

- **Word of Mouth:** Friends/Recommendations (15.15%) are the strongest specific discovery channel, followed by Ambience/Vibe.
- **Physical First:** 88.46% of respondents prefer the **In-Store** channel.

Strategic Implication: The launch of any wellness line (e.g., protein bars, healthy bowls) requires strong in-store visual merchandising and staff training. Digital ads alone will not suffice; the "Vibe" of the store must signal "Health."

4. Perception of Healthy Food

Objective: To decode what "Healthy" actually means to the Blue Tokai consumer to avoid marketing missteps.

Key Findings:

- **The Definition:** Consumers define "Healthy" through specific macronutrients and ingredients: **High Protein (18.31%)**, **Veggies (9.86%)**, and **Fruits (8.45%)**.
- **The Product Gap:** **Salads (14.08%)** are the most requested healthy addition.
- **Brand Trust Anchors:** When asked about trusted healthy brands, **The Whole Truth (33.33%)** dominated the responses, followed by **Optimum Nutrition (14.29%)**.

Strategic Implication: Consumers associate health with "Clean Label" and "High Protein" (The Whole Truth model). Blue Tokai should avoid vague health claims and focus on specific benefits (e.g., "20g Protein," "Fresh Ingredients").

5. Consolidated Insights & Outcomes

Objective: To synthesize barriers and drivers for the final recommendation.

Key Findings:

- **The "Gym" Sub-segment:** 8.45% of respondents explicitly identify workouts as a lifestyle pillar. This serves as the "Early Adopter" group for the new category.
- **Barriers to Entry:** 4.23% explicitly stated limitations such as "Blue Tokai is Just Coffee" or "Food is Overpriced."
- **The Opportunity:** Since users trust brands like The Whole Truth and Optimum Nutrition, a "Powered by" or "Collab" strategy could immediately lend credibility to Blue Tokai's food menu.

Strategic Implication: To convert the 66% of users who don't eat at Blue Tokai, we must reposition the food menu not just as "snacks" but as "Performance Nutrition" that complements their functional coffee habit.

VI. Data Triangulation & Integrated Insights

The Data Triangulation and Integrated Insights synthesize findings across secondary data, customer surveys, and in-depth interviews to define the strategy for Blue Tokai's entry into the wellness space.

Insight Category	Secondary Data	Quantitative (Survey)	Qualitative (Interview)	Synthesized Insight (The Truth)
Target Audience & Tone	Target customer is "urban affluent in Tier-1 cities, aged 18–45." The objective is to build authentic relevance within the fitness ecosystem.	Youth Dominance: 92.86% of respondents are under 35. Coffee preference is split almost evenly between Functional (46.48%) and Indulgent (47.89%) .	Questions probe 'First Experience' and 'Differentiation', confirming the core audience is engaged by the brand's 'vibe' and distinct quality.	The core current consumer is overwhelmingly young (under 35), urban, and functional-minded. Any wellness intervention must speak the language of Gen Z/Millennials (e.g., "Protein/Macros" vs. "Diet/Low-Fat") to resonate with this critical mass.

Food vs. Beverage Consumption	Core strategic direction is Habit Integration to position brands as essential parts of the daily wellness routine.	The Food Gap: 66.20% of respondents have "Not Tried/Not Interested" in Blue Tokai food. Current food choices are driven by Indulgence (47.89%) and Taste (39.44%) .	Q5 (Go-To Item) explores if an item is a "fuel," "treat," or "healthy choice," revealing the existing functional perception of the beverage over food.	There is a disconnect: the coffee is seen as Functional/Habitual, but the food is seen as Indulgent/Occasional. The strategy must bridge this gap by introducing food positioned as "Fuel" or "Performance Nutrition" to complement the functional coffee habit.
Wellness Credibility & Trust	Need to position credibly across pillars like muscle gain and gut health through strategic partnerships .	Definition of Healthy: Consumers define health by specific macronutrients, primarily High Protein (18.31%) . Brand Trust Anchors: The Whole Truth (33.33%) and Optimum Nutrition (14.29%) dominate trust.	Q6/Q7 probe 'Health Perception' via specific ingredients (sourdough, oat milk), showing consumers rely on ingredient transparency and specific claims to judge health.	Consumers associate health with "Clean Label" and "High Protein" (The Whole Truth model). A direct "Powered by" or "Collab" strategy is the most effective lever to immediately borrow credibility and overcome the "Blue Tokai is Just Coffee" barrier (4.23% barrier to entry).
Channel of Distribution & Reach	Past partnerships show a clear pattern of Lifestyle Integration (e.g., HarperCollins/Books) and Experience Amplification (e.g., Play Bar Project) to anchor coffee into rituals.	Physical First: 88.46% of respondents prefer the In-Store channel for consumption. Word of Mouth is the strongest discovery channel, followed by Ambience/Vibe.	Q1 (Discovery) and Q3 (Differentiation) confirm that physical elements like 'vibe', 'ambience', and 'service' are primary drivers of first and repeat visits.	The launch of the wellness food line is primarily an in-store merchandising and experience challenge . Strong visual merchandising, staff training, and the store's "Vibe" must signal "Health" for the new line to be discovered and integrated into the customer's routine.

VII. Decision Matrix

The Decision Matrix outlines three key strategic decisions based on the integrated data insights:

Key Insight	Decision Required	Risk of Inaction
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Youth-Dominant Audience views the coffee functionally and wants "High Protein" and "Salads." (Insight 1 & 2)	Reposition the new food menu not as snacks/treats but as Performance Nutrition (e.g., protein bowls, high-protein smoothies) to align with the existing functional coffee habit. The food must be marketed with specific, macro-based claims ("20g Protein," "Fuel").	Wellness food will fail to resonate with the core, trend-driven audience and remain in the "Indulgent/Occasional" category, maintaining the 66% Food Gap.
Consumers Trust Clean-Label & Protein Brands (The Whole Truth, Optimum Nutrition) and have a "Just Coffee" barrier. (Insight 3)	Launch the first 1-3 wellness SKUs (e.g., protein bars, clean-label snacks) using a Co-Branded "Powered by [Trusted Partner]" Collaboration strategy to immediately borrow credibility, overcome the trust barrier, and signal the seriousness of the wellness pivot.	New wellness food will be dismissed as "Overpriced" or "Not Credible" by the target consumer, failing to convert the 66% food-averse users.
88.46% In-Store Preference vs. low food interest; discovery is driven by Vibe/Ambience . (Insight 2 & 4)	The launch must be Physical First . Invest heavily in In-Store Visual Merchandising, menu board redesign, and comprehensive Staff Training to effectively communicate the "Health" and "Performance" proposition at the point of sale. Digital campaigns alone will not suffice.	Just relying on digital ads will fail to translate interest into in-store food purchase, as the physical environment will not support the new wellness narrative.

VIII. Brand Scoring Framework

The Brand Scoring Framework is a structured, weighted model designed to evaluate and prioritize potential brand collaborations for Blue Tokai's expansion into the wellness sector. Its purpose is to identify partnerships that offer the best strategic fit, lowest risk, and highest business potential by assigning weights (totaling 100) to various parameters.

The framework is organized into main categories, beginning with **Strategic Alignment & Consumer Resonance** (Total Weight: 49). This initial weighting can be adjusted based on evolving brand priorities, but for the current problem statement, it is set to effectively pinpoint the right partnership(s).

This category specifically assesses how closely a potential partner aligns with the Blue Tokai brand identity and how well it connects with the company's core customer base.

Categorisation	Parameter	Weights (out of 100)
Strategic Alignment & Consumer Resonance	Brand Positioning & Fit	18
	Audience Overlap & Targeting	14
	Cultural / Value Alignment	11
	Brand Love & Perception	6
Execution & Risk	Operational Feasibility	10
	Timeline Feasibility	8
	Legal & Compliance Risk	8

Business Potential & Track Record	Commercial Viability (Scale Parity)	14
	Historical Collaboration	8
	Upside / Strategic Optionality	3

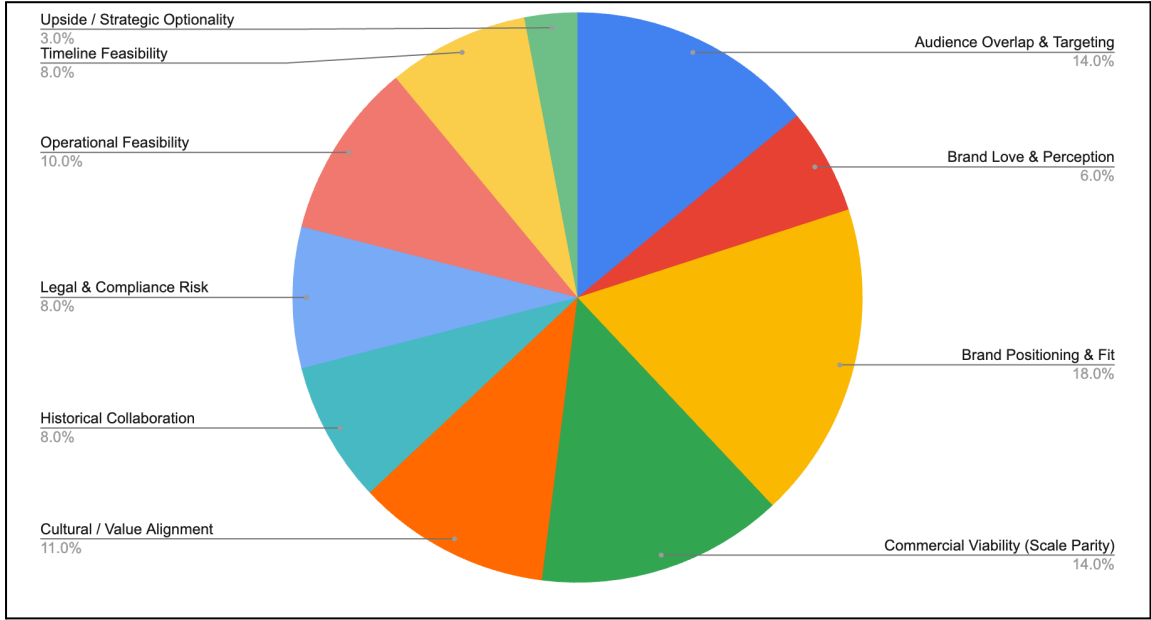


Exhibit 6: Brand Scoring Framework Representation

IX. The Strategic Levers

Based on the analysis and the Brand Scoring Framework, here is a strategic lever framework to identify and prioritize partnerships for revenue growth and brand awareness:

Strategic Lever	Primary Partnership Objective	Scoring Focus (Based on Framework Weights)	Core Strategic Action
Aspirational	Brand Awareness & Equity (Long-Term Value)	Brand Positioning & Fit,, Cultural / Value Alignment, Brand Love & Perception	Partner with premium, non-competitive lifestyle, culture, or wellness-tech brands (e.g., a mental wellness platform). The goal is to build <i>authentic relevance</i> within the Gen Z/Millennial audience by anchoring the brand in a daily, aspirational ritual. Focus on creating a compelling story or limited-edition experience.

Optimal	Balanced Growth & Credibility (Mid-Term Conversion)	Commercial Viability , Audience Overlap & Targeting , Operational Feasibility	Collaborate with dominant, clean-label protein or nutrition brands (such as The Whole Truth , Optimum Nutrition) to launch 1-3 new food SKUs. Use a "Powered by [Partner]" co-branding strategy to immediately borrow credibility, overcome the "Just Coffee" barrier , and convert the 46% of customers who view coffee as a "Functional" product.
Low Hanging (Quick Wins)	Immediate In-Store Adoption & Revenue (Short-Term Feasibility)	Operational Feasibility, Timeline Feasibility , Historical Collaboration	The goal is to quickly introduce high-demand items like High-Protein Salads and protein bowls. Success is driven by investing heavily in In-Store Visual Merchandising to leverage the 88.46% in-store preference and signal the new "Health" vibe at the point of sale.

X. Conclusion and Our Next Steps

Following 68 in-depth qualitative interviews and comprehensive secondary analysis, the project will first transition to synthesizing insights into testable hypotheses for rigorous validation via quantitative surveys (Phase 1). Subsequently, relevant brands will be identified and evaluated using the proprietary web application, trained on 10 key parameters from the Brand Scoring Framework. The highest-scoring brands will be shortlisted (Phase 2). Finally, these shortlisted partners will be utilized to develop targeted solutions leveraging three strategic levers: Aspirational (for long-term equity), Optimal (for balanced growth and immediate credibility through co-branding), and Low Hanging (for immediate in-store and online adoption and quick wins) which will thereby maximize brand credibility, authentic market penetration, and revenue maximization.

XI. Important Links

[Work in Progress Interview and Survey Responses](#)

[Survey Link](#)

[Tracxn](#)

[Past Partnership Data](#)

Store Count and Location:

<https://bluetokaicoffee.com/pages/our-presence>

<https://suchalisartisanbakehouse.com/pages/our-cafes>

[Brand Scoring Web Tool \(yet to be deployed\)](#)